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SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311 (formerly 19)

Tentative

Ruling

25STCV36271

RAY

H. KANG vs JAE HO SON, et al.

June

23, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANTS' COMBINED DEMURRER TO FIRST AMENDED COMPLAINT. DEFENDANTS' COMBINED

MOTION TO STRIKE PORTIONS OF FIRST AMENDED COMPLAINT.

RULING:

The Court overrules the

Demurrer and denies the Motion.

Twenty days to answer.

I.

BACKGROUND

On December 11, 2025, RAY

H. KANG (Plaintiff) filed a Complaint against JAE HO SON; MARC CHOI; OLIVIA HA;

HYO SOOK JEONG; SHOOGAR, LLC; and STAGGER COFFEE, LLC (Defendants).

On March 6, 2026, Plaintiff

filed the First Amended Complaint (FAC), listing Causes of Action for:

(1)

FRAUD AND INTENTIONAL MISREPRESENTATION

(2)

BREACH OF FIDUCIARY DUTY

(3)

CONVERSION

(4)

BREACH OF CONTRACT

(5)

CONSTRUCTIVE TRUST

(6)

MONEY HAD AND RECEIVED / RESTITUTION

(7)

ACCOUNTING

(8)

DECLARATORY RELIEF

(9)

VIOLATION OF PENAL CODE SECTION 496.

Plaintiff alleges that,

between 2021 and 2025, Plaintiff invested about $300,000.00 in capital contributions across three related ventures, for an agreed thirty percent ownership interest, but Defendants omitted Plaintiff's interest in business filings, denied access to financial records, excluded Plaintiff from profit distributions, and misappropriated contributions and company assets for Defendants' personal use.

On April 29, 2026, Defendants filed the Demurrer to each Cause of Action of the FAC, except the Seventh, and the Motion to Strike punitive damages allegations, based on various grounds, including that Defendants acted solely in their capacity as members and not as managers or agents capable of binding the Limited Liability Corporations (LLCs), citing Corporations Code section 17703.01.

Plaintiff opposes, arguing that the FAC contains all required allegations. Alternatively, Plaintiff requests leave to amend to add more details.

II.

LEGAL STANDARD

Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 879-880.) A complaint does not necessarily need to be a model of pleading but needs sufficient factual allegations. (E.g., State v. The Superior Court (2001) 87 Cal.App.4th 1409, 1411.) " 'Even as against a special demurrer, a plaintiff is required only to "set forth in his complaint the essential facts of his case with reasonable precision and with particularity sufficiently specific to acquaint the defendant of the nature, source, and extent of his cause of action." ' " (Elder v. Pac. Bell Tel. Co. (2012) 205 Cal.App.4th 841, 858.)

The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Ibid., § 437.)

III.

ANALYSIS

A. Judicial Notice

The Court denies Defendants' Request for Judicial Notice of the blank "Secretary of State Articles of Organization Limited Liability Company (LLC)." Materials prepared by private parties with the Secretary of State are not official records suitable for judicial notice. (People v. Thacker (1985) 175 Cal.App.3d 594, 598-599; Stevens v. Superior Court (1999) 75 Cal.App.4th 594, 608.) Judicial notice requests may be denied based upon a lack of relevance. (Kashian v. Harriman (2002) 98 Cal.App.4th 892, 901, fn.3; Ragland v. U.S. Bank National Assn. (2012) 209 Cal.App.4th 182, 194; Barratt Amer., Inc. v. City of San Diego

(2004) 117 Cal.App.4th 809, 812, fn. 2 [court denied judicial notice of city resolutions as being irrelevant to question involved in demurrer].)

Alleging omitted ownership or membership information on LLC formation documents, is not any essential element of the Causes of Action, as analyzed below.

B. Vicarious Liability

Defendants assert that the members were acting only as managers for LLCs and lacked authority to bind them, and the alter ego factors are insufficiently pled.

Plaintiff reasons that alter ego is adequately pled under the liberal standard, tort liability is alleged independently of LLC factors, and LLC manager status binds LLCs (citing Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333, 361; and Corp. Code § 17703.01).

"Like corporations, an LLC is recognized as a legal entity separate and apart from its 'members' or owners. [Corps.C. §§ 17701.04(a), 17701.05]." (Cal. Prac. Guide Enf. J. & Debt, § 3:68.6 [available on Westlaw].) However, "[w]here the LLC is managed by all of its members, each member is deemed an agent of the LLC in dealings with third persons and can bind the LLC in the same way a general partner can bind the partnership… [Corps.C. § 17703.01(a)].” (Ibid., § 3:68.11.) “A corporation may be held vicariously liable as a principal for the torts of its agents.” (Secci v. United Independant Taxi Drivers, Inc. (2017) 8 Cal.App.5th 846, 855.) “ ‘The principal must in some manner indicate that the agent is to act for him, and the agent must act or agree to act on his behalf and subject to his control.’ ” (Ibid.)

Additionally, under the

alter ego doctrine in relation to reverse piercing, the corporate form may be disregarded in order to hold the corporation liable for claims made against an individual. (See, e.g., Reliant Life Shares, LLC v. Cooper (2023) 90 Cal.App.5th 14, 38 [reverse piercing applied to LLCs, and where the entities are closely held and controlled by the individual who was not innocent but engaged in the wrongdoing]; Greenspan v. LADT, LLC (2010) 191 Cal.App.4th 486, 513-514 [rule against reverse piercing inapposite where the corporate veil would not be pierced for satisfying a debt of an individual shareholder]; Postal Instant Press, Inc. v. Kaswa Corp. (2008) 162 Cal.App.4th 1510, 1512-1513 [rejecting other jurisdictions’ authorities recognizing “reverse piercing of the corporate veil”]; Taylor v. Newton (1953) 117 Cal.App.2d 752, 761 [holding corporation to be the alter ego of an individual].).

“ ‘Application of the alter ego doctrine does not depend upon pleading or proof of fraud.’ ” (Misik v. D'Arco (2011) 197 Cal.App.4th 1065, 1074.) “A claim based upon an alter ego theory is not itself a claim for substantive relief.” (Leek v. Cooper (2011) 194 Cal.App.4th 399, 418.) “To recover on an alter ego theory, a plaintiff need not use the words ‘alter ego,’ but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor.” (Leek v. Cooper (2011) 194 Cal.App.4th 399, 415 [noting a complete absence of such allegations]. Cf. Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 235 [sufficiently alleged defendant dominated and controlled, a unity of interest and ownership existed, a mere shell and conduit, inadequately capitalized, failed to abide by formalities of corporate existence, used assets as own, and recognizing separate existence would promote injustice].) As to contract-based claims, the alter ego doctrine is sufficiently alleged by an allegation that defendant made the contract involved. (Los Angeles Cemetery Assoc. v. Superior Court (1968) 268 Cal.App.2d 492, 494.)

“[C]ourts have followed a liberal policy of applying the alter ego doctrine where the equities and justice of the situation appear to call for it rather than restricting it to the technical niceties depending upon pleading and procedure." (First Western Bank & Trust Co. v. Bookasta (1968) 267 Cal.App.2d 910, 915.) "The alter ego issue is ordinarily raised by the pleadings…. Nonetheless, even when not pleaded, that issue may be resolved at trial…." (Hennessey's Tavern v. Am. Air Filter Co. (1988) 204 Cal.App.3d 1351, 1358.)

Here, the FAC does not reveal that all individual defendants acted only as innocent managers, but instead alleges wrongdoing and involvement in joint ventures and partnerships. (E.g., FAC, ¶¶ 37 ("Defendant Ha is currently a member of Stagger Coffee, LLC and exercises control over company operations and assets jointly with Defendants Son and Choi."), 105 ("induced Plaintiff to confer these benefits by misrepresenting that Plaintiff would receive documented ownership…."), and 110 ("Defendants Jae Ho Son and Marc Choi by virtue of their joint venture and partnership relationship.").)

The Demurrer is overruled as to allegations related to vicarious liability.

C. Fraud and Intentional Misrepresentation

Defendants contend the FAC fails to allege specifically (1) a failure to deliver thirty percent ownership interest, (2) more than a prediction of future events, (3) actual reliance on representations as to Shoogar and Stagger, and (4) the elements of conspiracy as to Defendant HA.

Plaintiff counterargues that more than future predictions are alleged, and the FAC identifies each misrepresentation by speaker, date, time, and platform, including messages in which Defendants listed Plaintiff as a (30%) owner as late as October 2024 (referencing FAC, ¶¶ 31, 38).

As to the degree of particularity required to allege fraud, "'considerations of practicality enter in.'" (Miles v. Deutsche Bank Nat'l Trust Co. (2015) 236 Cal.App.4th 394, 403.) "'[T]he courts should not ... seek to absolve the defendant from liability on highly technical requirements of form in pleading. Pleading facts in ordinary and concise language is as permissible in fraud cases as in any others, and liberal construction of the pleading is as much a duty of the court in these as in other cases.'" (Appollo Capital Fund, LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226, 242.) Less specificity as to fraud claims is required if it appears from the nature of allegations that defendant must necessarily possess full information, or if the facts lie more in the knowledge of opposing parties. (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384-1385 [“it does not appear necessary to require each of the 38 plaintiffs to allege each occasion on which an agent of either defendant could have disclosed …. Surely defendants have records of their dealings with the plaintiffs.”]. Accord, Bushell v. JPMorgan Chase Bank, N.A. (2013) 220 Cal.App.4th 915, 931 [“plaintiffs did not have to specify the … personnel who prepared these documents because that information is uniquely within … [defendant’s] knowledge.”].)

“Reliance exists when the misrepresentation or nondisclosure was an immediate cause of the plaintiff's conduct which altered his or her legal relations, and when without such misrepresentation or nondisclosure he or she would not, in all reasonable probability, have entered into the contract or other transaction.” (Alliance Mortgage Co. v. Rothwell (1995) 10 Cal.4th 1226, 1239.)

Even for specifically pled fraud claims, only the damage type need be alleged, and “the absence of a specific amount from the complaint is not necessarily fatal as long as the pleaded facts entitle the plaintiff to relief.” (Furia v. Helm (2003) 111 Cal.App.4th 945- 957.) A party alleging fraud may request rescission of a fraudulently induced contract and either rescind it and restore the consideration or affirm it and recover fraud damages. (Geraghty v. Shalizi (2017) 8 Cal.App.5th 593, 597.) “[O]ne false representation of a material fact is sufficient either for an action for rescission of contract or to sustain an action for damages for fraud, provided the representation be such that the court can say that without it the contract would not have been entered into,…” (Feckenscher v. Gamble (1938) 12 Cal.2d 482, 492.)

Misrepresentations about the future are actionable when made by a party held out as having superior knowledge upon which plaintiff reasonably relied. (Neu-Visions Sports v. Soren (2000) 86 Cal.App.4th 303, 308. See also Miles v. Deutsche Bank Nat’l Trust Co. (2015) 236 Cal.App.4th 394, 402-403 [misrepresentation of a future event may form the basis of promissory fraud claim]; Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158 [“Certain broken promises of future conduct may, however, be actionable. Civil Code section 1710, subdivision (4) defines one type of deceit as ‘A promise, made without any intention of performing it.’”]; Magpali v. Farmers Group (1996) 48 Cal.App.4th 471, 481 [“A promise of future conduct is actionable as fraud if made without a present intent to perform.”].)

And general allegations are permitted as to the pleading of conspiracy. (Quelimane Co., Inc. v. Stewart Title Guar. Co. (1998) 19 Cal.4th

26, 47.)

Here, Plaintiff alleges with sufficient particularity the various dates of promises and representations made without intent to perform, which Plaintiff was fraudulently induced to rely upon, by performing the oral agreement, investing funds, providing services and foregoing opportunities and legal action, and Defendants' denial of Plaintiff's ownership interest (E.g., FAC, ¶¶ 57-69, 71.)

Further, the FAC alleges ultimate facts and reasonable inferences supporting elements of conspiracy, including Defendants' agreement and actions done in furtherance of denying Plaintiff's ownership interest, while accepting his capital contributions. (E.g., FAC, ¶¶ 67-71.)

The Demurrer is overruled as to Fraud.

D. Breach of Fiduciary Duty

Defendants maintain that Defendants do not owe fiduciary duties as LLC managers.

Plaintiff responds that joint venture and partnership members, and LLC managers, owe fiduciary duties (citing

Corp. Code § 17704.09, subd. (f)(1); Leff v. Gunter (1983) 33 Cal.3d 508.)

“[W]hereas managers of limited liability companies may not be held liable for the wrongful conduct of the companies merely because of the managers' status, they may nonetheless be held accountable under Corporations Code section 17158, subdivision (a) for their personal participation in tortious or criminal conduct, even when performing their duties as manager.” (People v. Pac. Landmark, LLC (2005) 129 Cal.App.4th 1203, 1213.) “LLC members may be liable to third parties for participating in tortious conduct. [Corps.C. § 17703.04(c)].” (Cal. Prac. Guide Enf. J. & Debt, § 3:68.10a.) While generally LLC members have limited liability to the same extent enjoyed by corporate shareholders, members who participate in management and control of the company and are subject to tort liability, based upon alter ego liability. (Angel Lynn Realty, Inc. v. George (2025) 114 Cal.App.5th 655, 663, fn. 7.)

Also, a claim for breach of fiduciary duty is “a species of tort.” (Ash v. N. Am. Title Co. (2014) 223 Cal.App.4th 1258, 1276.) Allegations of the ultimate fact of agency sufficiently allege a fiduciary relationship without any need for “explaining how this fact of agency originated….” (Skopp v. Weaver (1976)

16 Cal.3d 432, 439. See also Zumbrun v. Univ. of So. Cal. (1972) 25 Cal.App.3d 1, 13 [facts giving rise to a confidential, fiduciary or trustee relationship must be pled, and a “bare allegation that defendants assumed a fiduciary relationship” is a conclusion]; City of Hope Nat'l Med. Ctr. v. Genentech (2008) 43 Cal.4th 375, 386 [“ ‘[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.’ ”].)

Further, an LLC does not necessarily act in isolation, but can involve interacting with partnerships, joint ventures or individuals. (See, e.g., Perry v. Stuart (2025) 111 Cal.App.5th 472, 481 [“California limited partnership … petitioned for a writ of mandate to compel … LLC and its former and current managers,…”].)

Here, the FAC adequately alleges that individual defendants breached fiduciary duties in relation to LLCs, joint ventures, and partnerships. (E.g., FAC, ¶¶ 73-81.) Further, alter ego liability is adequately alleged, given flexible law cited above, and based upon various ultimate facts inferring a unity of interest and ownership, and an unjust result if treating entities as the sole actor. (E.g., ibid., ¶¶ 46 (“Defendants have diverted, concealed, and misappropriated business assets for their personal benefit while denying Plaintiff his rightful ownership interest and share of profits.”), 100 (“Defendants' unjust retention of property acquired through fraud, concealment, and breach of fiduciary duty.”).)

The Court overrules the Demurrer in regard to Fiduciary Duty.

E. Conversion

Defendants contend that Plaintiff cannot allege conversion by members not to be listed on formation documents or other public filings for LLCs, and allegations admit that Plaintiff is not a member of Shoogar or Stagger.

Plaintiff responds that Conversion is alleged based upon Plaintiff's interest never delivered despite over $300,000 accepted consideration (referencing, FAC ¶¶ 85–87).

Money of an identifiable sum can be the subject of a cause of action for conversion. (PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395, 397.) Conversion includes the unauthorized taking of intangible interests when merged with or reflected in something tangible. (Thrifty-Tel, Inc. v. Bezenek (1996) 46 Cal.App.4th 1559, 1565.) “A general allegation that the defendant ‘converted the property to his own use’ suffices to allege conversion.…” (Franklin v.

Municipal Court (1972) 26 Cal.App.3d 884, 902.) Complainants need only allege entitlement to immediate possession and need not necessarily allege ownership. (Plummer v. Day/Eisenberg, LLP (2010) 184 Cal.App.4th 38, 45.)

Plaintiff satisfactorily alleges Defendants' taking contributions over $300,000.00 in capital, in connection with percentage interests in the LLCs. (E.g., FAC, ¶¶ 26-27.) And there is no claim element that requires addressing omitted ownership or membership information on LLC formation documents.

The Court overrules the Demurrer as to Conversion.

F. Breach of Contract

Defendants contend that the thirty percent membership interest was never taken away, and Defendants cannot be liable for performing LLC management duties.

As analyzed above, the FAC adequately alleges deprivation of a 30 percent ownership interest in exchange for capital contributions and services, and Defendants' liabilities are alleged.

The Demurrer to the Breach

of Contract Cause of Action is overruled.

G. Constructive

Trust

Defendants assert that Defendants

have not wrongfully acquired or retained Plaintiff’s ownership interest, and Defendant

HYO SOOK JEONG is not a member of Shoogar or Stagger.

Regarding the Common

Count Causes of Action, Plaintiff reasons that each is independently supported

by Defendants' wrongful retention of Plaintiff's capital contributions and

denial of the ownership interest (referencing FAC ¶¶ 101, 103–105).

As addressed above, the

FAC well alleges deprivation of Plaintiff’s contributions and membership

interest. Additionally, the FAC satisfactorily alleges conspiracy-based

liability against Co-Defendant HYO SOOK JEONG, and that all “Defendants” did some

alleged wrongdoing. (E.g., FAC, ¶¶ 78, 84-89.)

The Demurrer is overruled

as to Constructive Trust.

H. Money

Had and Received / Restitution

Defendants contend that

this Claim fails with the other Causes of Action it is based upon.

“[A] common count, by long continued practice is not subject to attack by general demurrer or by a special demurrer for uncertainty.” (Auckland v. Conlin (1928) 203 Cal. 776, 778. Accord, Smith v. Bentson (1932) 127 Cal.App.Supp. 789, 791.) “When a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable.” (Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1560.)

The Court has determined that the other Causes of Action are not demurrable.

Hence, this Common Count-- Money Had and Received-- is not subject to attack by demurring.

I.

Declaratory Relief

Defendant reasons that this Claim is derivative of the other Causes of Action and therefore fails.

Plaintiff argues that Declaratory Relief is independently alleged based upon an ownership dispute over an operating business (referring to FAC ¶¶ 115–117).

A demurrer is properly sustained as to claims for Declaratory Relief “wholly derivative” of an unsupportive claim. (Ball v. FleetBoston Financial Corp. (2008) 164 Cal.App.4th 794, 800.)

As addressed above, the other Claims are supported by the allegations.

The Demurrer is overruled as to Declaratory Relief.

J. Violation of Penal Code Section 496

Defendant criticizes the section 496 Claim for failing to address how Defendant OLIVIA HA could have known that her 20% interest wrongfully came from Plaintiff’s membership interest and instead admitting Plaintiff did not know that (referencing FAC, ¶ 31).

Plaintiff disagrees, stating that Defendant’s messages confirming Plaintiff's 30 percent ownership interests and contribution, alleges her knowledge (referring to FAC ¶¶ 31–32, 38).

The elements of the Cause of Action are these:

Property

was stolen or obtained in a manner constituting theft;

defendant

knew the property was so stolen or obtained;

defendant

received or had possession of the stolen property.

(Switzer v. Wood

(2013) 35 Cal.App.5th 116, 126, 129. See

also Siry Investment, L.P. v.

Farkhondehpour (2022) 13 Cal.5th 333, 351 ("'Penal Code section 484,

subdivision (a) describes the acts constituting theft to include theft by false

pretense, which is the consensual but fraudulent acquisition of property from

its owner…. [The defendant] was found liable for fraud, i.e., for the

fraudulent acquisition of property (money) from its owner….'"]; Bell v. Feibush (2013) 212 Cal.App.4th

1041, 1049 [upholding civil liability under Penal Code section 496].)

In the FAC, Paragraph 39

directly alleges: "Defendants granted Ms. Ha's 20% interest by diluting Plaintiff's

rightful 30% stake,…" And paragraph 31 merely alleges what Defendant was "representing

to Plaintiff…." Paragraphs 122 through 125 well allege ultimate facts about

bases of Defendant's knowledge, and alternatively liability based upon conspiracy with others.

The Court overrules the

Demurrer regarding Penal Code section 496.

K. Punitive

Damages

Defendants contend that

Plaintiff failed to allege factors in support of punitive damages, since the allegations

merely describe business disputes and disagreements.

Plaintiff describes the

Motion as relying upon an incomplete description of the FAC that in full

context alleges that Defendants fraudulently induced Plaintiff to invest over

$300,000.00 by promising a 30 percent ownership interest.

“In order to survive a

motion to strike an allegation of punitive damages, the ultimate facts showing

an entitlement to such relief must be pled by a plaintiff.” (Clauson v. Superior Court (1998) 67

Cal.App.4th 1253, 1255. Accord, Spinks v. Equity Residential Briarwood Apartments

(2009) 171 Cal.App.4th 1004, 1055; Blegen

v. Superior Court (1981) 125 Cal.App.3d 959, 962.)

Further, punitive damages

may be awarded on the theory of promissory fraud. (Glendale Fed. Sav. & Loan Assn. v. Marina View Heights Dev. Co.

(1977) 66 Cal.App.3d 101, 133.) "'Although punitive damages may not ordinarily be given for breach of contract, whether the breach be intentional, willful or in bad faith…, such damages may be awarded where a defendant fraudulently induces the plaintiff to enter into a contract.'" (Las Palmas Assocs. v. Las Palmas Ctr. Assocs. (1991) 235 Cal.App.3d 1220, 1239.)

Additionally, punitive damages may be awarded in an action for conversion " 'given the required showing of malice, fraud or oppression. [Citations.]' " (Haines v. Parra (1987) 193 Cal .App.3d 1553, 1552.)

Also, "[i]n cases sanctioning punitive damages where there has been a breach of fiduciary responsibility, there has also been oppression, malice or fraud." (Delos v. Farmers Group, Inc. (1979) 93 Cal.App.3d 642, 657. Accord, Scott v. Phoenix Schools, Inc. (2009) 175 Cal.App.4th 702, 715; Flyer's Body Shop Profit Sharing Plan v. Ticor Title Ins. Co. (1986) 185 Cal.App.3d 1149, 1154.)

As analyzed with regard to the Demurrer, fraud, conversion, and fiduciary duty breach, are adequately alleged, which support the alleged remedy of punitive damages.

The Motion is Denied.

IV.

CONCLUSION

Accordingly, the Court overrules

the Demurrer, and denies the Motion to Strike, for reasons stated.